DRN-3053282

Financial Ombudsman Service

The complaint

Ms B is unhappy because Aviva Insurance Limited (Aviva) made mid-term changes to her insurance policy which she doesn't think is permitted within the contract terms. Any reference in my decision to actions by Aviva includes those of any party acting on its behalf. Any reference to Ms B's actions includes those of her broker.

What happened

Through her broker, Ms B took out a Commercial Property Owners insurance policy with Aviva for her commercial rental property. At her annual renewal, Ms B told Aviva the property was unoccupied. Aviva still offered the policy, but it applied the "*Unoccupied Premises Cover Restriction*", which limited cover to fire, lightning, explosion and earthquake only.

Four months into the policy, Ms B let Aviva know that the property was occupied again. Aviva reinstated full cover under the policy. However, Ms B complained that the excess for each of escape of water and storm/flood had increased to £2,500. Aviva reduced the escape of water excess to the original £500, but it kept the storm/flood excess at £2,500. Ms B complained that it was unfair to increase the excess after she'd bought the policy.

Aviva looked into Ms B's complaint and said that it had made two mid-term adjustments because of changes in material facts. The first was to increase the level of cover once the property was occupied and the second was to reduce the escape of water excess. Aviva said the adjustments were made in line with the policy terms.

Our investigator didn't uphold Ms B's complaint. She thought that Aviva had made the changes in line with the policy terms and there was no evidence that it had treated Ms B unfairly.

Ms B didn't agree. She said she also had an excess of £2,500 for loss of rent, so if damage was caused by a storm, her total excess for a claim would be £5,000. Ms B felt that if this was in line with the terms of the policy, then the term itself was unfair.

The complaint was passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

While I realise Ms B will be disappointed, I've decided not to uphold her complaint for broadly the same reasons as our investigator. I'll explain.

My role here is to decide whether Aviva made mid-term adjustments in line with the policy terms and conditions for the reasons it gave, and whether, in the circumstances, it was fair to do so. It's not within my remit to say whether the excess Aviva applied is an appropriate amount because that is a commercial decision based on its assessment of the level of risk.

There’s no dispute that the policy renewed at a limited level of cover because the property was unoccupied at the time. The issue is that Ms B doesn’t think it was fair that Aviva made changes to her policy excesses after she notified it of a change in occupancy a few months after renewal.

I’ve looked at the policy documents which confirm Ms B’s obligations include the following:

> *You must also tell Us about any facts or changes which affect Your insurance and which have occurred either since the Policy started or since the last renewal date.*

Ms B had renewed her policy on the basis that the property wasn’t occupied so, in line with her obligations, she told Aviva when her property became occupied four months into the policy term.

I then looked to see whether Aviva was entitled to make mid-term amendments to the level of cover having received Ms B’s notification of a change. The policy states:

> *Alteration of Risk*
> *You or Your broker must tell Us immediately if during the Period of Insurance there is any alteration in risk or to the facts which You disclosed when You took out this Policy, which materially affects the risk of injury, loss, Damage or liability which would fall within the Policy cover. This includes but is not limited to alterations to the Business or The Premises. When You tell Us about an alteration in risk, We may apply additional terms and conditions to this Policy (including but not limited to premium) or, if the risk is unacceptable to Us, We may cancel the Policy*

It's clear that this agreed policy term provides for changes to the terms and conditions where Aviva receives notification of a change in risk.

So, I’m satisfied that Aviva made changes in line with the terms and conditions of the existing policy after receiving confirmation from Ms B of a change in risk at her property.

<u>Was it fair in the circumstances?</u>

Ms B doesn’t think Aviva needed to make any changes to the policy because the unoccupancy endorsement could’ve just remained in place. She said it just wouldn’t apply when the property was occupied.

I understand the point she’s making but I don’t agree. When the policy renewed, it was based on the risk presented by an unoccupied property for a basic level of cover. Aviva explained to Ms B that, once the property became occupied, it reassessed the risk of providing standard cover, which included cover for escape of water and storm. It went on to explain that because she had an open storm claim from the previous policy year, it decided the risk was greater and increased the excesses for escape of water and storm/flood above the standard level to reflect that. It wouldn’t have been taken into consideration when Ms B first renewed the policy because Aviva wasn’t providing cover for those perils while the property was unoccupied.

As I’ve said, I can’t consider the actual amount at which Aviva set the excess. However, I see that after Ms B complained, it reduced the escape of water excess. That was because her open claim was for storm damage, so the endorsement for escape of water didn’t need to be applied. The storm/flood excess remained because of the claim history. I think that’s fair in the circumstances.

Finally, Ms B says she did not change the terms of cover, so the policy term which allowed Aviva to make the adjustment for no reason was itself unfair. As I've explained, though, Ms B did make a change to the policy cover. She wanted cover for an occupied property rather than an unoccupied property. So, it was reasonable that Aviva reassessed the risk and adjusted the policy accordingly.

Having considered the overall circumstances set out here, and Aviva's explanation to Ms B, I haven't seen anything to suggest that Aviva treated her unfairly when it made a mid-term adjustment to her policy. The evidence shows that Aviva made the adjustment in line with the policy terms and conditions when the level of risk changed, so I see no reason to make a requirement of it in respect of Ms B's complaint.

My final decision

For the reasons given above, my final decision is that I don't uphold the complaint.
Under the rules of the Financial Ombudsman Service, I'm required to ask Ms B to accept or reject my decision before 29 December 2021.

Debra Vaughan
Ombudsman